

1.

Explanation:

explain the concept of global investment, eg

- define global investment in terms of international capital flows, perhaps with a reference to the role of multinational companies in this respect
- explain the growth of global investment, eg in terms of outsourcing, utilising cheap labour, establishing ownership of raw materials and energy supplies
- define / explain the term global investment, eg expenditure to generate future income; spending on capital equipment to increase output, perhaps to displace labour; human capital
- simply define global investment in terms of 'total investment in the world'.

Analysis:

explain the concept of global investment, eg

- it promotes economic growth in that it is an injection into the circular flow of income, generating higher AD through the multiplier process but also adding to the productive capacity of the recipient economy
- its impact on the further economic development of less-developed economies
- human capital formation helping to promote skills within a country's workforce
- financing innovation
- helping to improve productivity
- a general improvement in business efficiency

**2.**

Define / explain economic growth and / or recession, perhaps with reference to GDP, criteria for identifying parts of the economic cycle, the UK experience of recent years

Explain possible reasons, eg

- an economic shock such as higher oil prices. Higher oil prices may then impact on inflation since oil can be a significant cost of production and can adversely affect households' cost-of-living. Anti-inflation policy may need to be used such as higher interest rates but such a response, especially if too severe, might slow the economy too much. This and the declining confidence of households and businesses may bring about a downturn and eventual recession
- other external economic shocks, such as the global banking crisis or recession amongst our major trading partners for whatever reason
- deterioration in domestic leading sectors such as construction and the car industry
- high levels of demand domestically causing demand-pull inflation and remedial action by the authorities follows which inadvertently plunges the economy into recession
- government failure to take remedial action quickly enough or the wrong type of action or inadequate action as the macroeconomy deteriorates for whatever reason
- a slump in private sector investment with no compensatory activity in the public sector
- any other valid point.

Make use of diagrams in the analysis.

[15]

**3.****Explanation**

- Define trade, investment, economic growth or any other relevant term except recession.
- Explain the concept of world recession, eg
 - define 'recession' or 'world recession' (one definition would be the UK official definition applied to the global economy of two successive quarters of negative GDP growth)
 - explain likely features of recession such as lower investment, higher unemployment, lower inflation or deflation (do not credit in such an explanation reference to negative GDP growth if this has already formed part of a definition, unless some points are added in order to provide an explanation)
 - comment on 'world', perhaps suggesting that it may be a term used when only some key areas of the global economy are in recession; referring to how a key area such as the US might draw other parts of the global economy into recession; make reference to the global nature of the recession of recent years
- Analyse how trade and investment might help cause economic growth, eg

Trade:

- a country's improved export performance can help create growth by output being increased to meet higher overseas demand and this then stimulating a multiplier effect which will lead to higher output and employment beyond the export sector itself
 - trade as a stimulant to innovation
 - trade as a stimulant to investment
 - trade as an incentive for a range of supply-side reforms
 - trade encouraging competition, so providing a possible stimulant to static and dynamic efficiency

Investment:

- investment is a component of AD so higher investment might produce higher actual growth but it is also a supply-side determinant of growth in that it helps create higher output through increased rates of innovation and labour productivity
 - investment producing growth-inducing structural change
 - investment producing growth-inducing infra-structure developments
 - investment in human capital
 - any other valid point

Reward references to the UK/other economies

4.

Define any relevant term

- Explain “the pound has fallen against the euro and other currencies”, perhaps by defining and comparing various exchange rates;
 - use the term depreciation and/or devaluation and compare to appreciation/revaluation;
 - use recent real world values to help illustrate the phrase; the impact on export/import prices; the potential impact on the economy

analyse two determinants of such a fall, e.g.

- Overseas investors become less confident about an economy because it may be showing signs of entering a recession, so they begin to withdraw their funds and sell the currency of that economy while potential new investors, deciding not to invest, bring about a reduction in demand for pounds, causing the currency to depreciate.
 - Relative interest rates
 - Government policies, e.g. increased borrowing
 - Speculation against a currency
 - Capital flows
 - Trade flows
 - Loss of business and consumer confidence as economic forecasts worsen
 - Any other valid determinant

Reward references to the UK/other economies

[9]

**5.****Issues and areas for discussion include**

Introduction	• explanation of globalisation • how benefit can be measured • macroeconomic performance criteria
Developing the response to the question:	• economic growth • employment/unemployment • inflation/price stability/deflation • trade flows • investment flows • balance of payments • competitiveness • any other valid issue
Evaluation	• not knowing what might have happened to the UK economy had globalisation not become so evident • the assessment may depend on the view taken of how significant or essential globalisation has been in bringing about various domestic supply-side reforms • whether cyclical factors have sometimes prevented the UK from obtaining the full benefit of globalisation <i>Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of globalisation. However, this must be considered as low-level evaluation and awarded accordingly.</i>
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams • an overall judgement on the issues raised

[25]

6.

For candidates who:

Define / explain

- exchange rate
- exchange rate system
- appreciation of exchange rate
- the concept of the 'average family'
- floating exchange rate system, perhaps with comparative reference to fixed exchange rate systems.

Explain how the exchange rate of a currency may be caused to rise within a floating exchange rate system, e.g:

- trade flows. As exports are demanded there will be a greater demand for the currency of the exporting country by those overseas customers buying those exports and being required to pay with the foreign currency in question. The country concerned will be importing goods and services. This will require buyers to sell the domestic currency in order to buy foreign currencies with which to buy imports. The increase in demand for the currency arising from higher export sales may be greater than the increase in supply of the currency arising from increased imports, all other things being equal, the exchange rate will rise.
- net inward investment
- speculative movements resulting in increased purchases of the currency
- 'dirty floating', i.e. official intervention in the foreign currency market in a floating exchange rate system in order to buy the currency
- higher interest rates relative to other comparable countries
- external economic stimuli, eg a strong and sustained US recovery which can be related to trade and / or investment flows
- external shocks, eg a banking crisis
- any other relevant factor.

For those candidates who adopt a basic supply and demand approach to the question without citing specific determining factors such as trade, award a maximum of 10 marks for the answer as a whole.

Make use of diagrams in the analysis.

[15]

7.

- define imports;
- relate import performance to export performance, perhaps with an invisible/visible reference;
- explain imports in the context of the balance of payments on current account, perhaps referring to imports explicitly as a debit item;
- put imports into the context of the circular flow of income

explain determinants of a country's demand for imports, eg

- income which allows consumers to demand more goods and services, assuming disposable income also increases with gross income. Some will be purchased from overseas sources, given that UK consumers traditionally display a high propensity to import. This may be for reasons such as consumer preference, as characteristics such as quality and after-sales service are seen to be stronger in imports or because the goods or services in question are no longer produced/supplied in the domestic economy.
- relative prices (terms of trade)
- protectionist policies
- cheaper credit helping to finance purchases
- deindustrialisation
- raw material, component and energy requirements
- the impact of the Single European Market
- exchange rate trends
- cyclical factors, e.g. recession
- a change in comparative advantage

Reward references to the UK economy

[15]

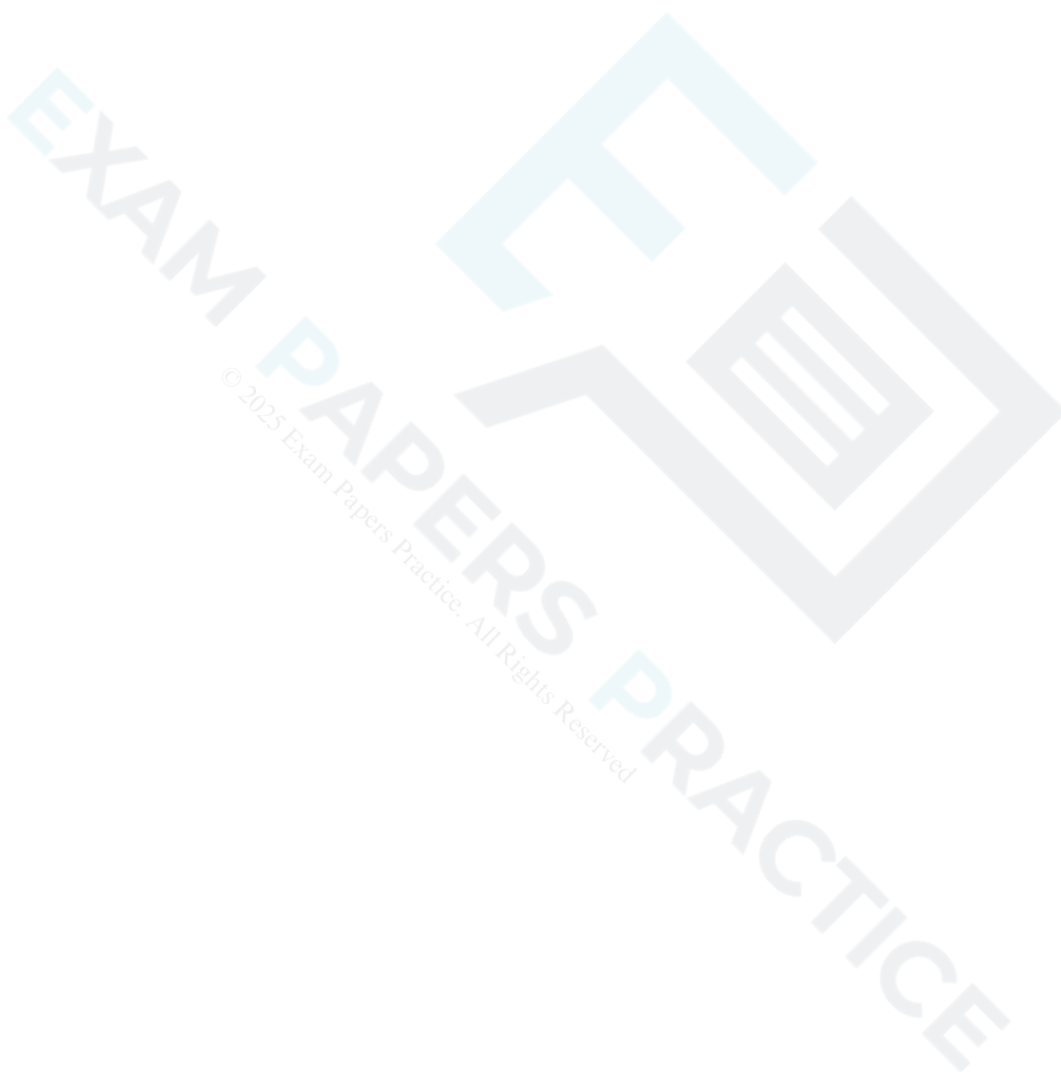
Issues and areas for discussion include

Introduction	• protectionism v free trade • the UK balance of payments on current account • the work of GATT/WTO • the Doha Round of talks • types of protectionism
Developing the response to the question:	• an overview of UK exports/imports; manufactures v services • competitiveness of exports, e.g. productivity trends, innovation, design, other non-price factors which might compensate for increased protectionism or mean that we are at a greater disadvantage if these factors remain weak • the potential significance of the exchange rate • supply and demand elasticity conditions as far as exports and imports are concerned • the danger of further deindustrialisation and the consequent impact on the balance of payments on current account • the potential significance of the EU trade bloc and whether even more of our trade is with the EU as protectionism elsewhere increases • account in the context of impediments to trade of various kinds • any other valid issue
Evaluation	• the impact on the balance of payments may depend on the extent of the increased protectionist policies • the impact may depend on the level of protectionism which existed before the further increase in trade barriers • the degree of impact may depend on the flexibility of the supply-side of the UK economy to take appropriate action given the specific nature of increased protectionism • the economic conditions in which the strengthening takes place around the world will be significant • given that the UK may be part of the process of strengthening, it will have to consider the impact on import flows compared to the impact on export performance • of some importance will be the particular elasticity conditions for exports and imports • the different parts of the current account might be affected in different ways <i>Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of protectionism. However, this must be considered as</i>



	<i>low-level evaluation and awarded accordingly.</i>
Also give credit for:	• relevant use of evidence and examples from other economies • diagrams • an overall judgement on the issues raised

[25]



**9.**

It is anticipated that candidates will review the various consequences of both inflation and deflation, a review interspersed with evaluative comments, before arriving at a final judgement. Examiners should reward well informed, relevant discussion and conclusion.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• the concept of price stability / price instability • definitions of inflation and deflation • the UK experience of recent years • the UK Government's setting of an inflation target • price stability as a desired objective and its relationship with other macroeconomic objectives.
Developing the response to the question:	• inflation damaging competitiveness with a potential impact on the balance of payments on current account • anti-inflation policies which are potentially harmful to the economy • the impact on business and household confidence • the impact on real income and hence real spending power • the ultimate damage to economic growth and jobs • deflation as being far less common than inflation in many economies • the impact on real incomes and real purchasing power • the dangers of consumer postponement of purchases hoping that prices will fall further • the impact on profits • the impact of lower profits and lower business confidence on investment • the potential benefits of reflationary policies • the benefits of falling prices to competitiveness • the possible harm done to growth and jobs • the impact on creditors / debtors • whether one is more / less anticipated than the other
Evaluation	• the extent of the problem, i.e. how significant the rate of inflation or deflation is • the length of time in which prices rise or fall • the potential benefits of mild inflation which might not be said of mild deflation

	• the relative ease / difficulty of executing, and making effective, policies to deal with either of the problems • the simultaneous experience of other countries • whichever problem prevails, the danger of the authorities overshooting targets, eg. quantitative easing and low interest rates bringing too much reflation and hence more inflation • the difficulty of making a judgement without more detailed information on an actual occurrence and the events surrounding it • both inflation and deflation have redistributive effects and it is impossible to predict which might be the more beneficial • a realistic conclusion is that, whatever the relative impact, neither may be desirable and the authorities should be aiming for a period of sustained price stability <i>Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of inflation and / or deflation, but with no attempt to place them into the context of the question or to prioritise them explicitly. This must be considered as low-level evaluation and awarded accordingly.</i>
Also give credit for:	• reference to the experiences of other economies • diagrams • an overall judgement on the issues raised

[25]

It is hoped that candidates will place the answer firmly into the context of the EU and not simply base the answer on the impact of the UK borrowing requirement, so that any final judgement is sufficiently comprehensive and relevant.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• government borrowing • budget deficit • PSNCR as one technical measure • the EU fiscal position as a whole • the Stability and Growth Pact • proposals for some regulation of fiscal policy independent of government • criteria for measuring the impact.
Developing the response to the question: Application	• line 3 reference to Keynesian economics and tolerance of deficits because of the benefits they can bring • lines 21-22 reference to the multiplier process and aggregate demand • lines 28-29 the potential impact of borrowing on interest rates and (line 40) on inflation • lines 36-39 EU fiscal stimulus counterbalancing any loss of business and consumer confidence
Developing the response to the question: Analysis	• the reasons behind the increased borrowing • the benefits of government spending • the benefits of tax cuts • the potential impact of increased borrowing on interest rates within the EU and whether greater differences emerge between interest rates in the euro area members of the EU and non-euro members of the EU • the dangers of 'crowding-out' of private sector activity amongst member countries • the uncertainty that increasing borrowing can create for households and businesses • the potential impact on the nation's international credit rating and hence on its ability to borrow in the future on favourable terms • the possibility of seeking help from, for example, the IMF and the impact of this • the economic pain associated with eventual remedial measures

	such as spending cuts and tax increases - the impact on the UK if EU fiscal expansion generally provides a stimulus to the UK economy - the impact on the value of the euro and the implications of this for the external value of the pound - any problems which emerge may become EU-wide problems making recovery even harder to achieve - measuring the impact in terms of growth, jobs and prices.
Evaluation	- the relevance of the scale of borrowing - assessment in terms of the net impact, eg do the benefits clearly outweigh any problems? - the economic context in which the borrowing is taking place, eg recession or recovery - whether the fiscal policy is accompanied by monetary expansion and the possible impact of this combination of expansionary policy - the perceived costs associated with fiscal balance or surplus - the speed with which borrowing can be reduced - the confidence that households and businesses have in government efforts to stabilise the fiscal position - whether the EU is at one with fiscal policy around the world or very much out on a limb. <i>Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of borrowing, or of higher public spending and / or higher taxation, but with no attempt to place it into the context of the UK and the EU. However, this must be considered as low-level evaluation and awarded accordingly. If these pros and cons are put into the context of the UK and EU, perhaps with an explicit attempt to prioritise, greater credit can be given.</i>
Also give credit for:	- relevant use of evidence and examples not contained in the data - diagrams - an overall judgement on the issues raised

[25]

12.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• sustained economic growth • living standards • reference to general living standards in the UK • criteria on which judgements are to be made.
Developing the response to the question: Application	• line 5 GDP per capita as a basic measure of living standards; higher growth may lead to higher GDP per capita in the UK • lines 17-19 references to aspects of the quality of life, which may or may not benefit from economic growth • lines 29-31 Africa as a major supplier of raw materials which could facilitate UK economic growth and thus impact on living standards • lines 36-37 Africa as a potential competitor to the UK in the world economy with a possible adverse impact on UK growth and living standards • discussion of whether both can be pursued at once
Developing the response to the question: Analysis	• how UK manufacturing might benefit from African demand for manufactured goods and components and hence contribute to economic growth • the potential, eventual competition for UK manufacturing and a consequent adverse impact on growth • the potential benefits to UK financial services helping African development, providing further stimulus to this traditionally successful growth sector • investment opportunities opening up in Africa • greater accessibility to African raw materials and energy supplies, helping to facilitate UK economic growth • benefits to other UK services, e.g. tourism • an assessment of the net effects on UK economic growth and therefore on living standards • the impact on employment, the more successful and competitive Africa becomes, and hence on average incomes • the possible adverse impact on manufacturing regions of the UK, while more service based regions may benefit, so adversely affecting disposable income in the former • the overall impact on income per head depending on the UK response to developments in Africa • the impact on UK living standards if African development begins to

	allow successful encroachment on other UK markets • growth and the quality of life, allowing a widening out of the discussion on living standards.
Evaluation	• a comparison of short run and long run effects • the economic changes in Africa may be so gradual and piece-meal as to have little measurable impact on the UK • however, countries such as Mozambique growing rapidly in the last decade, albeit from lowly positions, may bring pressure to the developed world sooner than was originally thought • the net effect may be small if Africa compensates for the decline of other UK markets (temporary or permanent) • the potential benefits of African expansion in the context of UK recession, opening up markets which had not been envisaged just a few years earlier • the difficulty of making generalisations, eg parts of Africa providing new sources of energy and raw materials to help UK growth while others begin to present competition for UK manufacturing • the possibility of having to avoid generalisations because of the diverse character of the continent, so that comments on the potential impact on the UK economy and its living standards are only pertinent to individual economies; stark contrasts between various parts of Africa are likely to persist • the possibility of complementarity, eg African expansion of secondary activities requiring and stimulating the UK tertiary sector. • the environmental impact and the increasing demand on resources arising from growth in Africa, possibly impacting on the UK, eg higher oil prices. <i>Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of growth in the context of living standards, with no attempt to place it into the context of the UK / Africa and with only limited reference to living standards. However, this must be considered as low-level evaluation and awarded accordingly. Marginally more credit could be given to this type of evaluation if placed in the context of the countries concerned.</i>
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams • an overall judgement on the issues raised

14.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and/or other issues in the time available.

Issues and areas for discussion include:

Introduction:	- the balance of trade in goods and services - the balance of payments accounts - surplus/deficit.
Developing a response to the question:	- supply-side policies - exchange rate manipulation - protectionist policies - controlling aggregate demand in order to constrain import growth and release more output to the export sector - adoption of an export-led growth strategy - control of inflation if this is perceived to be the cause of the problem - expenditure-switching policies compared to expenditure-dampening policies.
Evaluation:	- the need to distinguish between those policies which offer a possible short-term improvement and those which offer a potential cure for the problem in the long term (e.g. a reference to expenditure-dampening v expenditure switching). - the need to distinguish policies which can be regarded as realistic in the current climate, e.g. supply-side policies, from those which might be politically unacceptable, e.g. protectionism - some policies may not bring immediate improvement, eg the long-term nature of supply-side policies; exchange rate manipulation and the J-curve effect - there may be less significance attached to the deficit if it is seen as part-and-parcel of a maturing economy which, although successful in the trade in services, has lost much of its industrial base, thus needing to import more finished goods - the underlying issue of whether or not a deficit really matters if it does not impede economic growth and job creation and does not damage investor and business confidence.
Also give credit for:	relevant use of evidence and examples from the UK / other economies

[25]

15.

For candidates who:

Define/explain

- exports/imports
- balance of trade in goods and services
- define / explain the term global investment, eg expenditure to generate future income; spending on capital equipment to increase output, perhaps to displace labour; human capital
- the balance of trade in goods and services in the context of the current account or the balance of payments as a whole
- the possible nature of a country's exports and imports given its own stage of development
- the UK may adopt a strategy of export-led growth. This may be because it is perceived as the most rapid way of achieving economic growth and/or because it feels itself to be very competitive in world markets. It may recognise that a good export performance will initiate a multiplier effect which should benefit the economy beyond the export sector and that exports may well encourage supply-side improvements such as innovation and higher productivity to sustain good external performance
- favourable terms of trade (examiners note that this term is not included in the specification but candidates may well discuss relative export/import prices even if the term is not used)
- the need for imports of raw materials, energy and/or finished goods, e.g. because the UK has lost so much of its industrial base
- a sustained favourable exchange rate motivates an export drive
- absolute/comparative advantage, e.g. UK comparative advantage in financial services
- the impact on UK exports of overseas recession, especially the US and the EU as far as the UK is concerned
- exchange rate movements
- relative inflation rates
- relative rates of productivity (traditionally unfavourable for the UK) and impact on competitiveness
- the ability of the UK to impose protectionist policies

[15]



16.

Define the concept of macroeconomic policy objectives in terms of reference to the criteria by which macroeconomic performance is measured

Explain macroeconomic policy objectives, e.g.

- economic growth can be defined as increases in the productive capacity of an economy. Such increases will determine the long-run trend rate of growth and will shift the LRAS curve and the PPC to the right. Actual growth can be measured by GDP
- price stability
- full employment or low unemployment
- improving the performance of the balance of payments on current account
- exchange rate stability
- fiscal stability

Explain the importance of macroeconomic policy objectives to an economy, eg

- price stability and international competitiveness
- economic growth and living standards
- the balance of payments on current account
- the importance of reducing unemployment
- an essential requirement for efficient policy making
- they establish benchmarks against which the authorities, NGOs, economists, business can measure success / failure within the economy
- they allow policies to be formulated in good time if objectives seem increasingly unlikely to be met
- because of the inherent weaknesses there may be in an economy, it is vital to have objectives which give a sense of direction and which provide the prospect of being able to remedy those weaknesses
- if achieved, they create a stable economic climate for the private sector

[15]

17.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• common macroeconomic policies • economic recovery • the significance of the rest of the EU to the UK • the criteria by which the impact on the UK economy might be assessed.
Developing a response to the question:	• the implications for economic growth • the impact on employment / unemployment • the consequences for the balance of payments on current account • the effects on the £ / € exchange rate • the greater likelihood of avoiding a period of deflation • the dangers of inflationary pressures building up • the further development of the SEM in a period of recovery and increasing prosperity.
Evaluation:	• the possible significance of a slow recovery • the possible supply problems if recovery is too rapid • whether the UK can take advantage of EU recovery • whether the advantage lies more with the rest of the EU in terms of exporting to the UK than for the UK exporting to the rest of the EU • the significance of EU recovery for the UK relative to recovery taking place elsewhere in the world, i.e. in markets which have significance for the UK • whether or not recovery has implications for the movement of labour in and out of the UK and how this affects the UK labour market.
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams

[25]

18.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• reference to the quote in the question • the recent experience of rising oil prices • criteria for assessing macroeconomic performance
Developing a response to the question:	• the implications of this for the pattern of production • consequences for the balance of payments on current account • inflation • the impact of inflation on jobs • the impact of inflation on economic growth • rising oil prices and business and consumer confidence • implications for government revenue and expenditure • the impact on export performance
Evaluation:	• whether the oil price increases are simply building on past price increases or whether they represent a supply-side shock of which there has been little or no recent experience • whether or not petrol taxes are reduced to compensate for higher oil prices • mature economies having less dependency on oil • whether price increases are sustained over a long period of time • whether, as in the UK's case, an economy is also an oil exporter as well as an importer • whether rising economic growth and inflation-reducing forces are in evidence to dull the impact of rising oil prices
Also give credit for:	• relevant use of evidence and examples from the UK / other economies • diagrams

[25]

It is hoped that candidates will clarify the criteria by which consequences can be measured and then relate China's growth to the performance of the UK economy in an evaluative way.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• recession • economic growth • criteria for assessing consequences
Developing a response to the question:	• reference to the growth performance of the Chinese economy • reference to the problems of the UK economy • why continued growth of a major economy may be important to another country in recession • economic growth • the balance of payments • employment / unemployment • investment flows • inflation • China's growth perhaps causing inflation exacerbated by the UK pursuing a potentially inflationary policy of quantitative easing and fiscal expansion • the impact on the UK of China taking increasing control over world resources by its investment • China's contribution to the IMF which might ultimately be of benefit to the UK • impact on the exchange rate.
Evaluation:	• the extent to which China wishes to share the 'proceeds' of growth with other countries by importing more goods • although the phrase 'global recession' is used it may be that some other UK markets are not faring too badly, so making China's contribution to UK economic performance less significant • the ability of the UK to maintain / increase market share in China • China is pushing ahead with export-led growth which may not be in the long-term interests of UK manufacturing • the extent to which the UK economy welcomes Chinese investment in its economy and whether China reciprocates. <i>Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of growth and with no attempt to place it into the context of the UK/China.</i>

	<i>However, this must be considered as low-level evaluation and awarded accordingly.</i>
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams

[25]

21.

For:

- defining protectionism or protectionist policies and / or deficit on the current account of the balance of payments
- classical / strategic trade theory
- explaining in broad terms the nature of protectionist policies and the distinctions which may be drawn between them
- placing protectionism into the context of progress towards free trade
- reference to the WTO.

For explaining three possible protectionist policies:

Tariffs on imports may be introduced to make imports more expensive than domestic output because they are duties or taxes imposed on the price of imports. Demand for these imports may be reduced but this will depend very much on elasticity conditions. If the demand for these imports is elastic, the import bill will fall (*ceteris paribus*) and so help the current account.

Quotas / voluntary export restraints (VERs).

Export subsidies

Exchange rate policy

Exchange controls / Limits on currency conversion.

Non-tariff barriers to inhibit trade, e.g. cumbersome health and safety regulations that create costs to exporters regarded as unreasonable.

Domestic government's favouritism towards home producers when awarding contracts which cannot necessarily be economically justified (public procurement policy).

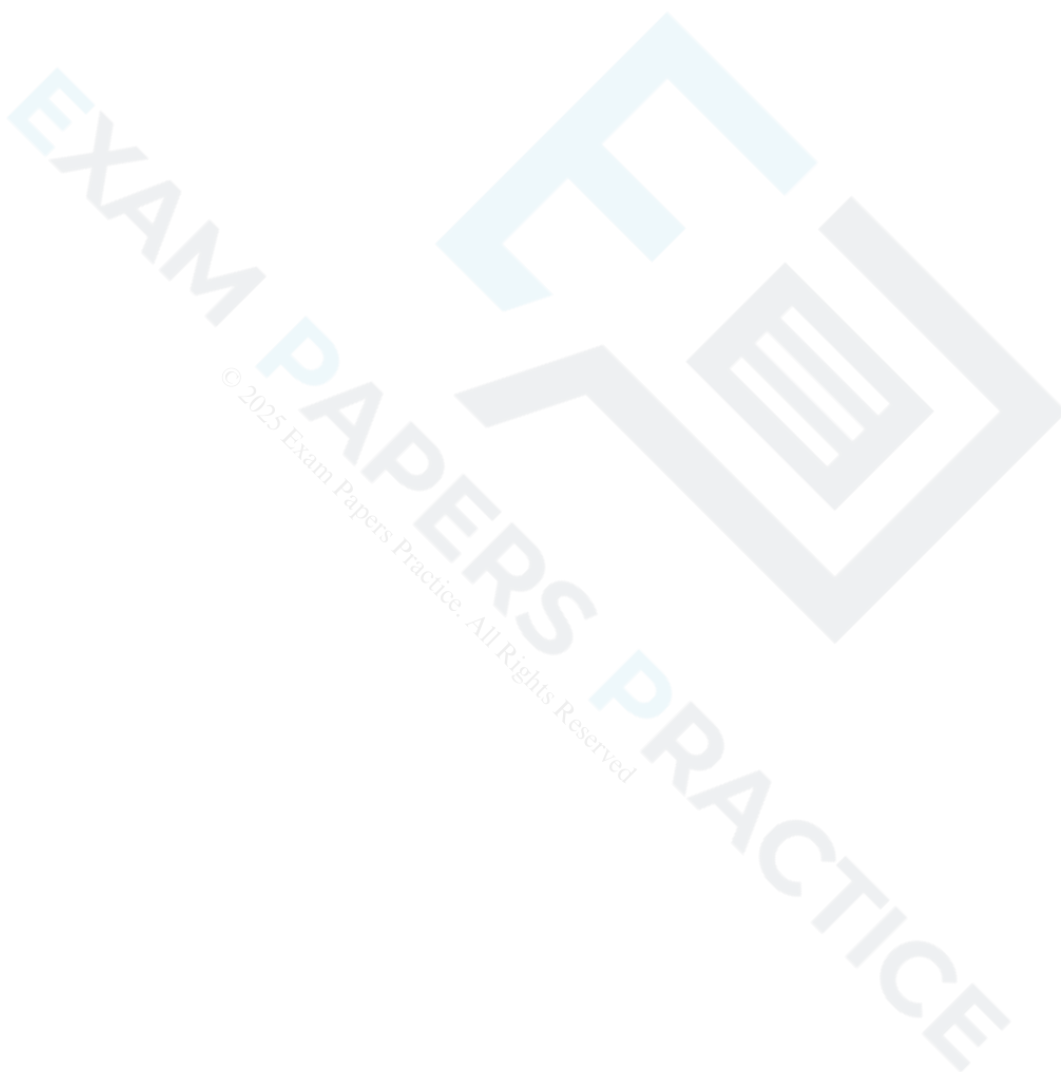
Any other valid argument

Use of diagrams to help support an explanation, e.g. the standard tariff diagram.

References to the UK and / or other economies.

If more than three policies are considered, reward the best three.

[15]



Introduction	• the world economy and economic diversity within it • free trade • progress towards a free-trade world – the role of GATT and latterly the WTO • the dangers of increased protectionism • how 'benefit' might be measured.
Developing the response to the question: Application / Analysis	• trade spearheading globalisation and the benefits this can bring • the principle of comparative advantage • specialisation • economies of scale • efficiency • the impetus to improving competitiveness in price and non-price ways • the pace of innovation • the benefits of greater choice • prospects for economic growth • trade in preference to aid to help development • employment prospects • the drive for greater competitiveness forcing down prices and hence helping to achieve low inflation • implications for the balance of payments • the impact on less successful economies of a free-trade world • use of diagrams • reference to the UK and / or other economies.
Evaluation	• a consideration of who might be the major beneficiaries • the possibility of structural unemployment as comparative advantage changes between countries • economic shocks in one part of the world are more likely to affect other parts • the difficulty of drawing conclusions which are too generalised as to be virtually meaningless • on-going protectionism even by countries involved in WTO talks such as Doha which might limit benefits • a consideration of 'significant' economic benefits • the possible problems of measuring economic benefits • how the 'losers' might be helped, if at all, and if there is a willingness to do so

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- if free trade is so beneficial why does an underlying protectionism persist?
 - benefits for some sectors of an economy, damage to others
 - trade blocs (free trade for members v protectionism towards non-members)
 - the need for WTO talks to make much more progress before benefits can be cited without significant qualification
 - a final judgement on the perceived benefits of progress towards free trade.

Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]

Introduction	• macroeconomic performance • the possible nature of major global events such as sports competitions, natural disasters and economic downturns.
Developing the response to the question: Application	• the stimulus to countries hosting major events benefiting other countries (lines 5-8) • the distinction between predictable and unpredictable events (lines 16-19) • the importance of such events forging stronger economic ties between countries (lines 13-15) • the need for a strong economy in order to take advantage of opportunities (lines 29-30) • US financial crisis (line 19) • the Japanese earthquake and tsunami in 2011 (line 23). • use of AD / AS analysis • the multiplier • economic cycle
Developing the response to the question: Analysis	• economic growth • stability of prices • employment / unemployment • the balance of payments on current and capital accounts • creating a strong economy in order to be able to respond to the stimuli of global events • the possibility of global events having a negative impact and the ability of an economy to respond • analysis of fundamental factors such as productivity, quality of resources, flexibility • references to the UK and / or other economies • use of diagrams.
Evaluation	• what we might regard as “significant” • what we decide to be the key measure(s) of “significance” • the likelihood of major global events not being good news, e.g. disruption to oil supplies • how we might be perceived to be economically weak by other countries because of our possible inability to play a key role as an event unfolds • is the impact of any major global event nothing more than transitory? • with so many potential “players” internationally any one country



can't always expect to have a significant role to play

- the short term impact of an “event” in contrast to long term sustaining of, and benefits from, trade and investment links
- possible contrasting abilities to respond to positive events as opposed to negative ones or vice versa
- a final judgement on the overall significance.

Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]



Introduction	• criteria for measuring economic consequences • nature of potential problems • nature of potential opportunities • the EU • the issue of enlargement of the EU.
Developing the response to the question: Application	• Turkey's geographical position (line 3) • an expected population in Turkey of 100m by 2020 (line 10) • Turkey's vast economic potential (line 11) • Turkey's impressive growth for at least 5 years, 2002 – 2007 = 7% (lines 14 – 15), 2010 first quarter = 11% (lines 13 – 14) • Turkey's reputation for economic instability (line 20) • high inflation in some recent years in Turkey (lines 20-21) • an attractive centre for investment (line 24) • migration and the impact on UK PPF • consequences for UK AD as the EU expands • export-led multiplier.
Developing the response to the question: Analysis	• the diverse nature of member countries of the EU • the UK approach to the EU and to enlargement in particular • demands upon the EU budget and hence upon individual members • Turkey as part of the SEM and the likely flow of cheap imports to UK • cheap migrant labour impacting on the UK labour market and social and economic infrastructure • Turkey as an additional market for the UK • investment opportunities • investment income coming back to the UK • the benefits of its established links with Asia • UK economic growth • UK unemployment • UK balance of payments • UK inflation / deflation • reference to other economies • use of diagrams.
Evaluation	• Turkish membership may be seen as the "straw which breaks the camel's back" as EU enlargement gathers pace

- short term v long term considerations
- the ability of the UK to take up opportunities successfully
- the UK's possible inability to take up opportunities in the context of having to shoulder some of the problems which Turkey's membership may give rise to in the EU
- the possibility that the UK macroeconomic indicators do not all head in the same direction (for example, Turkey as a stimulus to economic growth but migrant labour causing an unemployment problem)
- the difficulty of giving "values" to pros and cons pre-membership and therefore being unable to take up a decisive stance with confidence
- the impact could change over time as circumstances change
- continuing enlargement, including Turkey, potentially providing ammunition to the Euro-sceptics in government and beyond causing the UK to remain by choice on the sidelines of the EU. An assessment of the significance of this issue for the UK
- a final judgement on the overall impact on the UK economy.

Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.

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[25]

27.

Explanation

For defining investment, for example, that which is spent on capital equipment which can be used to create output and / or improve efficiency.

Investment and its linkage with aggregate demand

Investment as an injection into the circular flow

Investment and human capital

Overseas investment, such as FDI, portfolio investment or investment by multinational companies.

Examples of investment.

Use of technical terms, e.g. gross / net investment; private / social capital; physical / financial capital.

For use of a relevant diagram, e.g. circular flow

Analysis of benefit

Overseas investment spearheading trade links boosting the export sector. Overseas investment can spearhead trade links thus helping to boost the UK export sector. This in turn can be the growth inducing factor for the economy, especially by generating an export multiplier leading to an economic stimulus of the sector.

Stronger international linkages benefiting the balance of payments on current account.

The potential benefits to domestic employment.

Profit, interest, dividends (PID) from overseas investment and uses to which these might be put.

Any other valid analysis.

Use of appropriate diagrams, e.g. AD / AS.

References to the UK economy in the analysis.

[9]

Introduction	- the trade in goods - the balance of payments on current account – deficits and surpluses - criteria for assessing the impact of a deficit - the potential nature of the problem in the context of the UK economy.
Developing the response to the question: Application / Analysis	- the possible determinants of a successful export performance - possible determinants of imports - whether competitiveness in world markets is an underlying issue and is the real cause for concern - Whether global macroeconomic conditions provide part of the answer and whether they will be a temporary phenomenon - whether deficits arise from a loss of comparative advantage - the part played by the exchange rate at any one time and whether this is a temporary difficulty - whether non-price factors must be seen as a cause for concern - deindustrialisation as part of the explanation over the long term - the impact of deficits on other macroeconomic indicators – growth and employment - the compensatory role of invisibles - the compensatory role of capital flows - the possibility that a deficit might be a reflection of rising living standards in a country - use of diagrams - reference to the UK and/or other economies
Evaluation	- how persistent the deficit is - how large the deficit is, for example, in relation to GDP - whether it has an impact on the exchange rate and the consequences of this - the ability to borrow, if necessary, to finance the deficit - whether, in reality, it has had any lasting adverse impact on growth or jobs - whether the attempts to reduce it cause more problems, e.g. deflation of AD - whether the deficit brings higher living standards, if only in the short term - is the deficit indicative of a country 'living beyond its means'? - it may lead to calls for increased protectionism which may cause



long term problems

- the need to distinguish actions to control the deficit from actions to bring about a long term solution
- international opinion of the deficit
- whether it brings intervention by the IMF
- a final judgement.

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[25]



Introduction	- the nature of the EU perhaps with reference to institutions - the UK position within the EU - fiscal policy and budgetary positions - criteria for assessing consequences.
Developing the response to the question: Application	- Lines 1–3: the remedial Keynesian approach now denied to member states - Line 4: the abandonment of fiscal rules - Lines 11–14: the crisis in Greece arising from fiscal looseness - Lines 19–23: the UK Government seeming to be a step ahead of some in the EU especially with the setting up of the OBR. - Keynesian multiplier - Budgetary positions - Current account deficits.
Developing the response to the question: Analysis	- the general economic consequences any individual economy might expect in trying to achieve a balanced budget - the consequences for the EU as a whole of achieving that position - the idea of 27 nations being required to follow the same policy - the reasons for the policy - the impact on economic growth - the impact on living standards in the short term and long term - the impact on employment/unemployment - the impact on the UK's balance of payments on current account - the impact on inflation - the possibility of deflation - the impact on types and levels of government spending - the changes in taxation and the possible impact of the changes - use of relevant diagrams - reference to other economies.
Evaluation	- whether or not the policy is introduced for economic reasons or to reflect a particular political philosophy may influence judgement on the policy - the time given for any one country to achieve a balance - the UK's original fiscal position at the time the policy is introduced - for how long a country will be expected to continue with the policy - whether or not the policy will be effectively enforced - whether the UK pursues the policy mainly through tax increases or



public spending cuts or a combination of both

- whether it will be short-term 'pain' for long-term benefit
- the differing impact on particular sections of the UK population
- whether additional private sector activity will compensate
- whether monetary policy has the same constraints imposed
- the problems which 'one-size-fits-all' policy tends to generate for individual nations
- a final judgement on the overall impact on the UK economy.

Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.

[25]

32.

For

- defining exports or export of goods
- value v volume
- placing exports into the context of trade in goods and services
- placing exports into the context of the balance of payments on current account.

Comparative advantage is established or strengthened where an economy can produce a good at a lower opportunity cost than another country and therefore has a greater likelihood of improved competitiveness and more efficient use of resources, so that sales should rise in foreign markets. In the UK the financial services sector has developed this advantage. Reward an illustrative numerical example of comparative advantage.

Rising incomes overseas.

Improved productivity in the exporting economy.

A lower rate of inflation compared to trading partners or perhaps deflation in contrast to competitors' inflation.

Government support for the export sector.

Exchange rate depreciation.

Changes in export prices.

Any other valid cause.

Use of diagrams to help support explanations, e.g. comparative advantage, exchange rates.

Reward references to the UK economy.

Award a maximum of 12 marks if 3 reasons are not considered.

If more than 3 reasons are considered, reward the best 3.

[15]

Issues and areas for discussion include

Introduction	• the concept of a single market • other examples of single markets • the development of the EU single market • possible criteria for assessing benefits in outline.
Developing the response to the question (analysis and application)	<i>It will be perfectly legitimate for a candidate to cite benefits and, by evaluating these, to identify costs (or vice versa), eg competition as a spur to efficiency, but in evaluation, the UK not able to match the achievements in efficiency seen in some other member states with higher unemployment being a potential cost (consequence) of this.</i> • economic growth • economies of scale • comparative advantage • specialisation • efficiency, with inefficient firms failing (static v dynamic efficiency) • productivity • competition • choice of goods and living standards • mobility of resources • harmonisation of economic policies possible • trade expansion/trade creation • standardisation of national regulations • greater ease of doing business between members • investment • the single market as a 'driver' to further enlargement of the EU in general (although some would see this as a cost) • costs for the UK associated with being geographically separate from the rest of the EU and peripheral to the core • unemployment • low wages arising from mass immigration • a steady weakening, perhaps ultimately loss, of UK economic links with the rest of the world as trade diversion becomes more prevalent • costs associated with a 'survival of the fittest' scenario • bullying by dominant members into accepting economic policies seeking to strengthen the single market which are not in UK's long-term interests • regulations not necessarily being removed but imposed at EU, rather than national, level • use of diagrams • references to the real world.

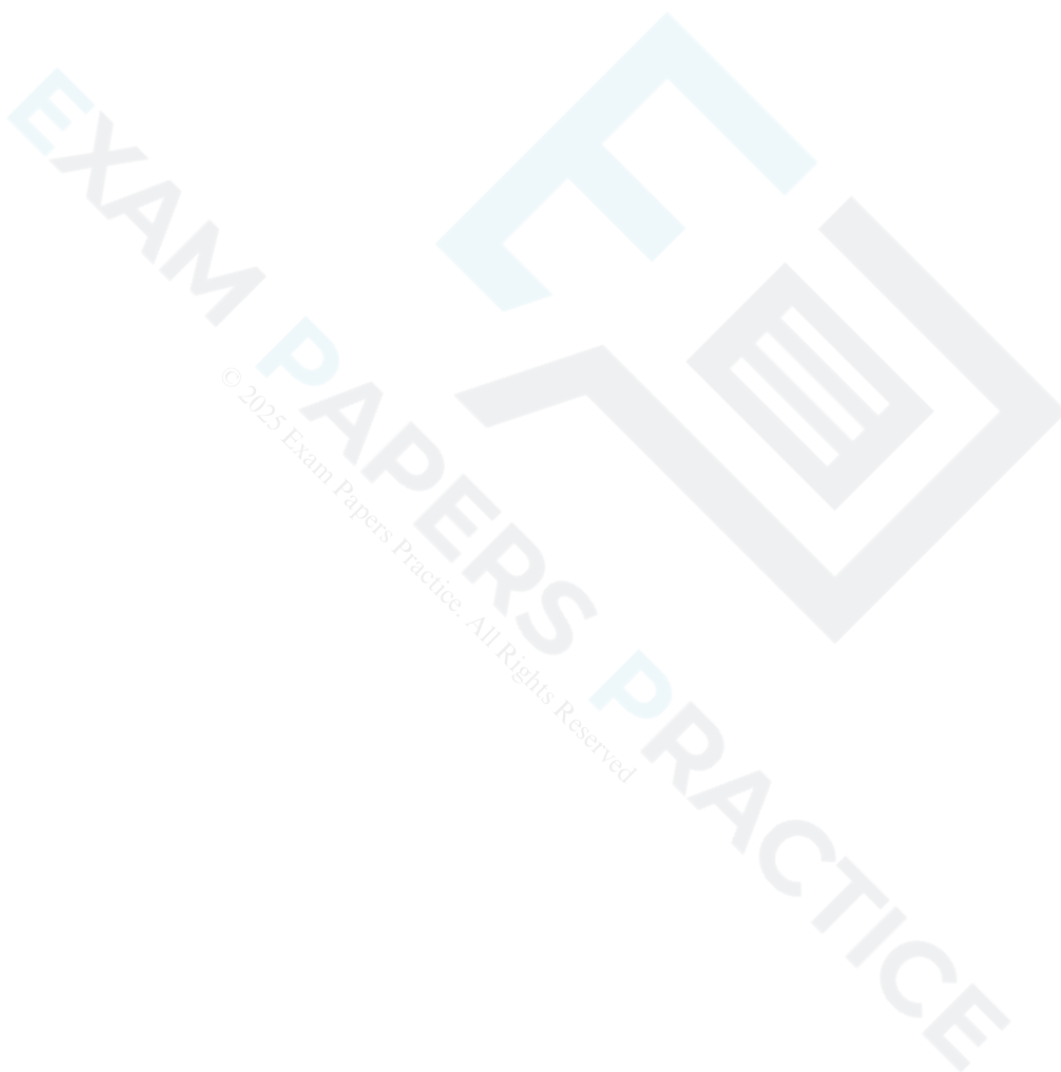
**Evaluation**

- much of any objective evaluation may rest on to what extent the single market is allowed to develop ultimately
- non-EU countries which did have strong economic ties with one or other members of a single market may find them weakening (trade diversion taking place), eg the Commonwealth and UK
- progress can be slow, eg the single market in services still needs to be developed, and yet some members are largely dependent on services
- a single market may not mean fewer regulations faced by members but just regulations raised to organisation, rather than national, level and this may not be efficient from the national perspective or, ultimately, from the single market perspective
- threat of competition for an individual economy from lower-cost members with implications for the balance of payments and jobs, perhaps irrespective of the efficiency gains in the higher-cost country
- labour mobility does not always deal with surplus/shortage problems very neatly and individual countries may suffer
- migration driven not by economic factors (e.g. prospects of employment) but the supportive mechanisms in place in the recipient countries (eg welfare and health-care), perhaps causing a heavier burden on an economy's public finances and downward pressure on wages
- higher living standards for all cannot be assumed; improvements may well be patchy
- any economic benefits such as higher growth can be diluted by developments beyond the single market, notably global recession
- the possibility of any one member being continually pressured to accept developments e.g. the single currency and/or a common fiscal policy
- the drawing of different conclusions is possible when considering the likelihood of a two-speed EU, ie euro members v non-euro members
- a final judgement on the potential benefits of the single market for a country such as the UK. Some central facts: access to 500m people; over half of UK trade is with other members of the single market; estimated that 3.5mn UK jobs are linked to export of goods and services to the remainder of the single market; another estimate suggests that member countries trade twice as much with each other as they would in the absence of the single market.

Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.

It will only be possible for candidates to consider a few of the above. They may also discuss other issues not mentioned above.

[25]



Introduction	• economic growth • other macroeconomic performance indicators • the contrasting economies of India and the UK.
Developing the response to the question: Application	• Line 3: reference to increased exports • Lines 6–8: impressive quarterly growth which, if maintained, could create spin-offs for the UK • Line 18–19: GDP, multiplier, accelerator • Line 19: inward investment from India • Lines 24–28: benefits for the UK from India's infra-structure development • Line 31: the limitations for the UK if India remains 'fiercely protective'.
Developing the response to the question: Analysis	• how it is expected that India might develop in the future • the current importance of India to the UK and how this might change in the future • the potential impact on UK economic growth • the potential impact on the UK balance of payments both on current and capital accounts • the potential impact on employment/unemployment • UK structural change influenced by economies such as India • the impetus that stronger links with India may give to supply-side reforms • the impact on productivity and competitiveness • the impact on investment flows • use of diagrams • reference to other economies.
Evaluation	• India needs to be put into the context of other significant fastdeveloping nations which may all eventually play a part in UK macroeconomic performance • India needs to be put into the context of our currently important trading partners – the US and the EU • India may decide to remain protectionist in terms of certain types of investment and trade • how more effective, if at all, some of our competitors are in penetrating the Indian economy • the net trade flow • the net investment flow

- 
- whether the UK produces what India's development requires, and, if not, whether the UK is able and willing to carry out the required structural change
 - how supportive the UK government is of private sector efforts in penetrating the Indian economy
 - whether or not India's growth and development continues in the current global economic climate
 - a final judgement on the overall likely importance of India to the UK economy.

Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.

[25]

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